State of Sustainability Assurance in LQ45: FY2025

*Readiness for **ISSA 5000** among Indonesia's largest listed companies*



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**Data is derived from public FY2025 sustainability and annual reports of the 45 LQ45 constituents (3 Aug to 30 Oct 2026)*

Assurance is widespread in LQ45, but ISSA-ready assurance is rare

*27 of 45 issuers (60%) published an assurance statement on FY2025 sustainability data; **4 of 27 statements** meet all five core criteria of an ISSA 5000 report.*

Exhibit 1. Four ISSA-ready statements among 45 LQ45 issuers

One square per issuer, by its external statement on FY2025 sustainability data



Statement type	Issuers	Share
ISSA-ready statement	4	9%
Other independent assurance	22	49%
Verification only	1	2%
No statement found	18	40%

Findings

1. **All 9 state-owned issuers** published a statement, against 18 of 36 private issuers. Section 03
2. **Provider type sets the standard and the level.** The 4 Big 4 statements are ISAE-based limited assurance; the 17 from certification bodies and consultancies use AA1000AS at a moderate level, which ISSA 5000 does not recognise. Section 04
3. Of 44 issuers that disclose Scope 1 emissions, 20 have them assured and **6 statements list the assured figures**. Section 05
4. Most of the distance to ISSA 5000 sits in **three report elements**: an ISAE-based standard (10 of 27 statements have one), a limited or reasonable level (8) and a named quality management framework (6). Section 06
5. The GHG arithmetic holds in 40 of 44 testable reports. Consistency between sections and completeness of boundaries are weaker, and **assured reports are flagged about as often as the rest, or more**. Section 07
6. **41 of 45 issuers** would need a new or changed engagement to obtain an ISSA 5000-form statement. Section 08

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**Data is derived from FY2025 sustainability reports and assurance statements of LQ45 issuers*

The rules are about to define what counts as assured

*LQ45 is 53%, 60% or 69% "verified" depending on the definition; between 2026 and 2029, **ISSA 5000, PSPK and OJK's draft rules** narrow that to one form.*

The Indonesia Stock Exchange puts the verified share of all listed companies' 2025 sustainability reports at 13%. For sustainable bonds, POJK 18/2023 already accepts a sustainability rating as one form of external review (Art. 46). Counting ratings gives 24 of 45 LQ45 issuers, counting assurance statements gives 27, and counting either gives 31. This report counts assurance statements only, since that is the form the coming rules recognise.

ISSA 5000 and its ethics standard are profession-agnostic: audit firms and other providers can both apply them. IAI, which issued PSPK 1 and 2, cannot require assurance itself. That mandate rests with OJK, whose draft places Main Board and New Economy Board issuers in Group 1.

What this means

> After 2029, the engagement that counts for providers is a limited or reasonable one under **ISSA 5000 or SAKb 5000**. Malaysia accepts ISSA 5000 only, and IAPI proposes a single standard. Reporting teams prepare their first PSPK reports for FY2027; settling the standard and level before that cycle avoids changing provider twice.

Exhibit 2. Indonesian limited assurance arrives with Singapore and a year after Malaysia

Standards and regulations for sustainability assurance, Indonesia and region



* As reported by IAPI; the date was not found in the OJK draft text reviewed.

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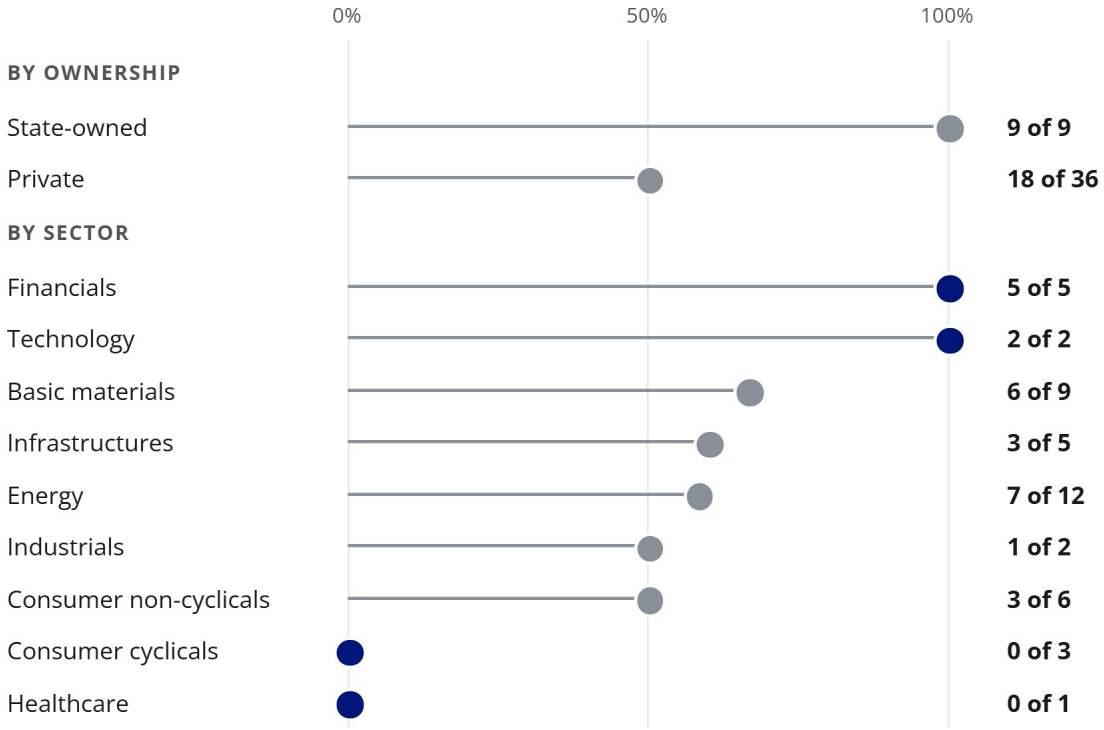
Sources: IAASB via RSM; IAI; OJK draft POJK; IAPI; SC Malaysia; Allen & Gledhill (section 11)

Assurance follows ownership and business group

All 9 state-owned issuers *published a statement, against 18 of 36 private issuers; in 7 of 9 business groups, every member shares the same status.*

Exhibit 3. Every financial and technology issuer has a statement; no healthcare or consumer cyclical issuer does

Share of LQ45 issuers with an external statement on FY2025 data, by ownership and sector



No SOE-specific assurance mandate was found. The SOE ministry's PER-1/MBU/03/2023 covers CSR reporting only, so the ownership pattern is an association rather than a requirement.

Four groups use one provider for all their LQ45 members: Indofood (ICBP, INDF) and Bakrie (BUMI, DEWA) with Moores Rowland, Merdeka (MBMA, MDKA) with TÜV Rheinland, and Pertamina (PGAS, PGEO) with SRAI. No member of the Adaro/AlamTri or Barito groups has a statement.

What this means

> The **18 issuers without a statement** can start directly in ISSA 5000 form, with no AA1000 engagement to unwind.

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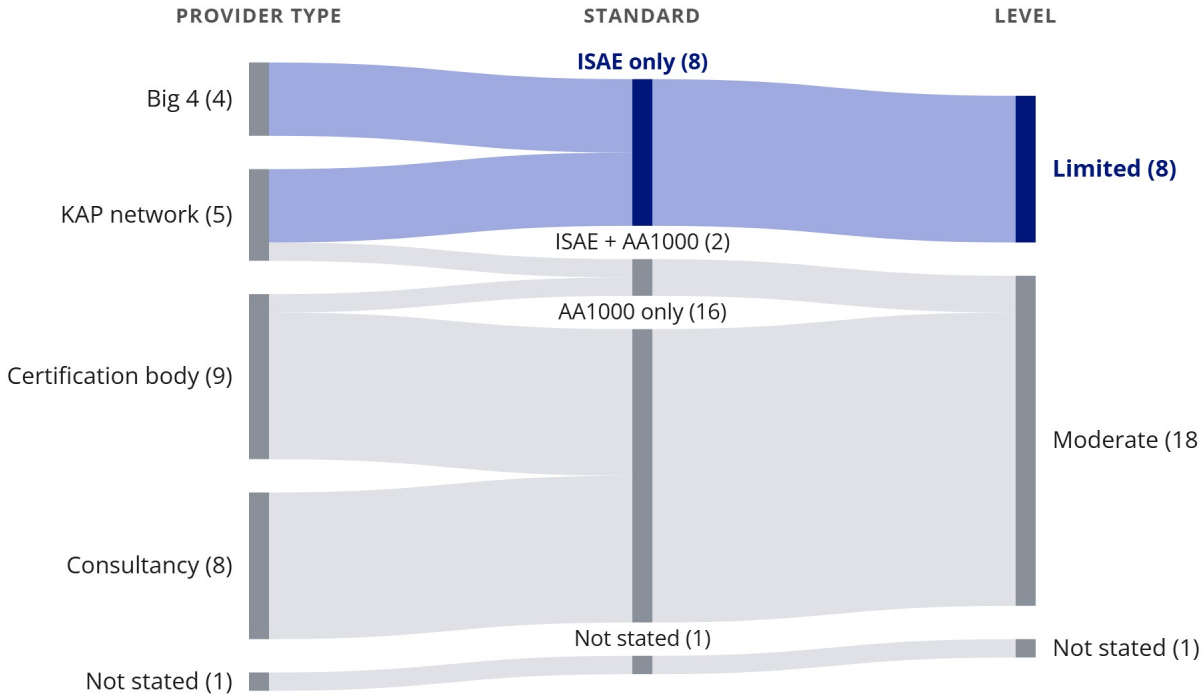
**Data is derived from FY2025 sustainability and annual reports of LQ45 issuers; IDX sector classification*

Provider type decides the standard and the level

*All 4 Big 4 statements are ISAE-based limited assurance; **all 17 from certification bodies and consultancies** are AA1000AS at a moderate level.*

Exhibit 4. Big 4 statements all end at limited assurance; non-audit statements all end at moderate

FY2025 assurance statements by provider type, standard and level; band width = number of statements, n = 27



ISSA 5000 recognises limited and reasonable assurance only; no statement gives reasonable assurance.

Eleven named providers sign the 27 statements, and one statement names none. Audit firms sign 9 of them (EY 3, PwC 1, Moores Rowland 5); among the world's 120 largest companies in 2023, audit firms carried out more than 55% of engagements. Three providers sign 16 of 27 (59%): TÜV Rheinland 6, SRAI 5 and Moores Rowland 5, for a Herfindahl index of about 1,413.

AA1000AS "moderate" has no defined equivalent in ISSA 5000, and at least 6 statements mix the vocabulary of both standards. AccountAbility describes the two as complementary. Even so, **17 of 27 statements** would need both a new standard and a new level to take ISSA 5000 form.

What this means

> Certification bodies and consultancies keep the market open to themselves by offering **ISSA 5000 limited engagements**, with AA1000 principles as an add-on where clients value them. Issuers get an ISSA-ready statement by naming the standard and level in the request for proposal; the provider label alone does not settle either.

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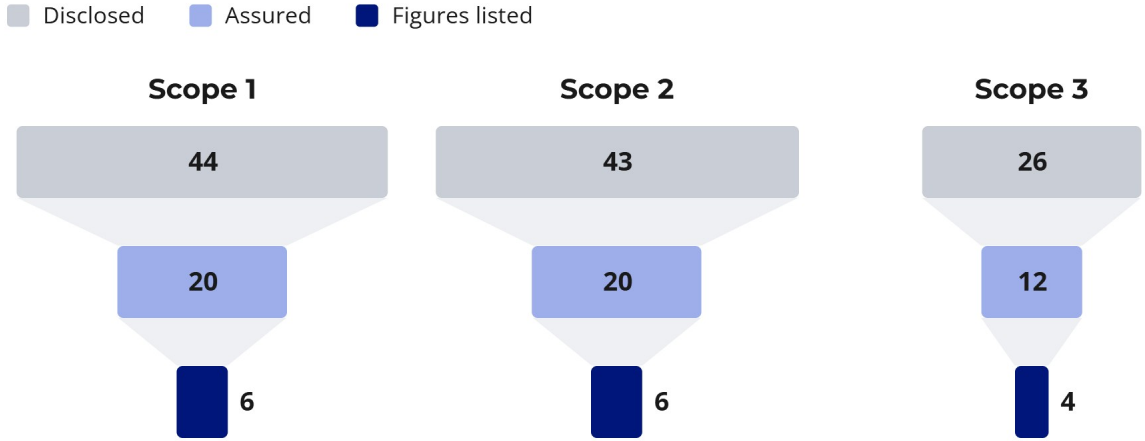
**Data is derived from FY2025 assurance statements of LQ45 issuers; Maroun et al. (IAASB); AccountAbility*

Coverage narrows at every step, from disclosure to listed figures

*44 issuers disclose Scope 1 emissions, 20 have them assured, and **6 statements list the figures they assured**.*

Exhibit 5. At every scope, about half is assured and a third of that is listed

LQ45 issuers by GHG scope: disclosed, assured, and assured figures listed in the statement, n = 45



7 of 27 statements assure no GHG scope. Every listed figure matches the report body.

Most statements that cover emissions name a topic ("GHG emissions") instead of a figure, so a reader cannot tell which number was checked. That holds for 14 of the 20 Scope 1 engagements, and for 6 of the 7 statements that claim to cover the whole report. ISSA 5000 asks the assurance report to identify or describe the information assured (¶190(c)(iv)).

PSPK 2 gives preparers three years of relief on Scope 3, against one year under IFRS S2. First engagements under the new regime are therefore likely to centre on Scope 1 and 2.

What this means

> A request for proposal that **names the figures to be assured**, with units and boundary, settles the subject matter before fieldwork and meets ¶190(c)(iv) at little cost.

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**Data is derived from FY2025 sustainability reports and assurance statements of LQ45 issuers*

Four statements are ISSA-ready, and the gap is structural

4 of 27 statements *meet all five core criteria: GOTO, MEDC and NCKL (EY) and ASII (PwC). GOTO, MEDC and NCKL also meet both PSPK criteria.*

Readiness criteria

Each criterion is met or not met; "not clear" counts as not met

Code	Criterion	Met when
ISSA 5000 CORE		
C1	**Independence**	The statement declares independence or compliance with ethical requirements; generic wording counts
C2	**Quality management framework**	ISQM 1, the IESBA Code or an equivalent is named
C3	**Level**	Limited or reasonable assurance
C4	**Standard**	Based on ISAE 3000 or 3410 (SPA 3000 or 3410)
C5	**Conclusion**	A clear limited or reasonable conclusion is expressed
PSPK		
P1	**Scope 1 and 2**	Both scopes are assured
P2	**Figures**	The assured figures are listed in the statement

"Ready" means the statement carries the elements an ISSA 5000 assurance report must contain. It says nothing about whether the engagement behind it would pass an ISSA 5000 review.

OJK already prescribes most of these elements for one product. Sustainable bond reviewers must state their scope, competence, independence and methodology and follow the five IESBA fundamental principles (POJK 18/2023 Art. 47–49). The regulation names no assurance standard or level, the two elements most LQ45 statements lack.

What this means

> Scoring the current statement against the seven criteria shows which gaps the next engagement letter has to close; **section 09 turns them into checks**.

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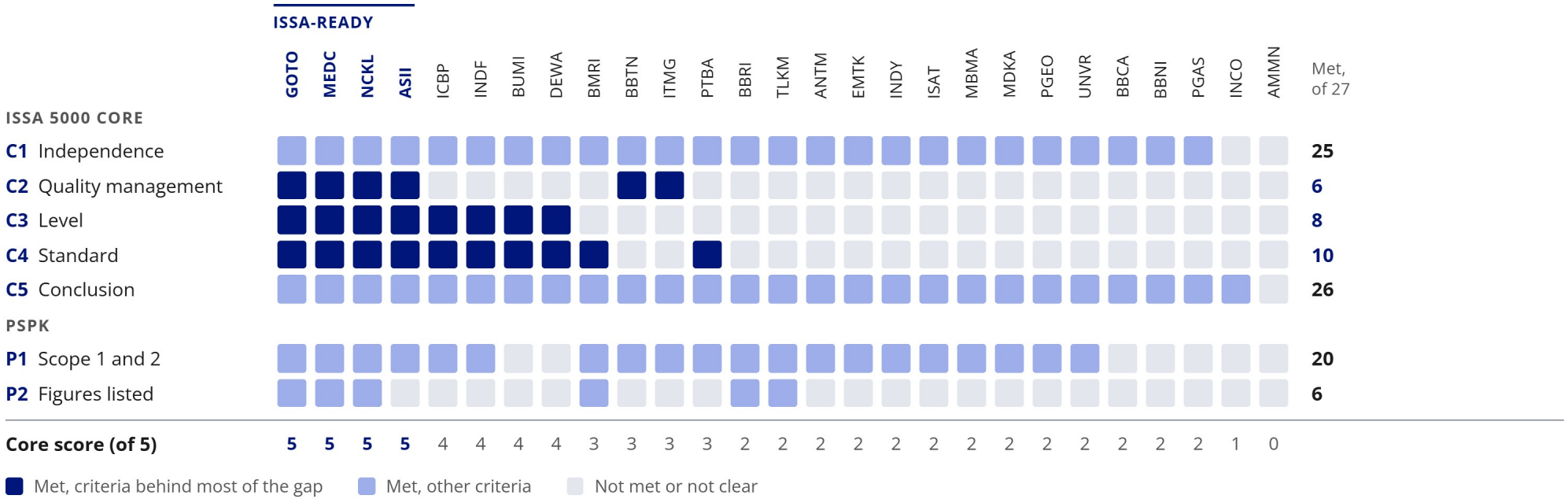
**Criteria derived from ISSA 5000 report requirements and PSPK 2; POJK 18/2023*

The empty columns follow provider type

*Big 4 statements average **5.0 of 5 core criteria**, other KAP-network statements 3.8, certification bodies 2.2 and consultancies 2.0.*

Exhibit 6. Standard, level and quality framework are the emptiest columns

FY2025 assurance statements by readiness criterion, sorted by core score and then PSPK score, n = 27



Competence is not scored: ISSA 5000 treats it as a condition for accepting the engagement, not a report element. Even so, 22 statements describe the team's competence, and none of those is Big 4.

What this means

> Non-audit providers need a **quality management system that meets ISQM 1** or an equivalent, and a sentence in the report that says so.

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The numbers add up; the claims around them don't always

*40 of 44 testable reports pass the arithmetic checks; **12 of 39 contradict themselves** between sections and 14 of 45 carry a plausibility or boundary flag.*

Three reconciliation lenses

Each FY2025 report with GHG data, read against itself. The test is internal consistency, not the truth of the data; counts are a lower bound.

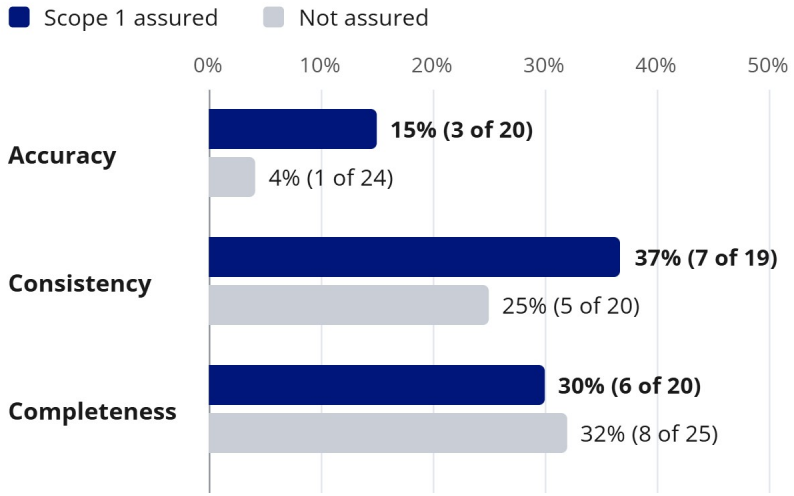
Lens	What it checks	Flags by type
Accuracy	Scope totals equal the sum of their parts; breakdowns by source or site add up	4 sum mismatches
Consistency	Narrative claims, stated % changes and intensities match the tables	8 narrative, 5 intensity, 1 % change
Completeness	Figures are plausible for the business; boundary and method are standard and disclosed	8 plausibility, 10 method or boundary

18 of 45 reports (40%) pass all three lenses with no inferred omission. Two omissions are inferred rather than shown and are reported apart from the flags: coal mine methane is not visible in 5 of 7 coal-mining reports, and one livestock report shows no enteric fermentation. Smaller hygiene items, 15 editorial slips and 8 prior-year inconsistencies, are not counted as flags.

OJK's draft revision of POJK 51/2017 would fine misleading sustainability claims per data error, and these flags sit in the claims and explanations.

Exhibit 7. Assured reports are flagged about as often as non-assured ones, or more

Share of FY2025 GHG reports with at least one flag, by lens



Small groups; descriptive, not causal. All 27 assurance conclusions are unmodified.

What this means

> ISSA 5000 asks practitioners to read the other information around the subject matter for inconsistencies of this kind. **Reconciling every claim, percentage and intensity** to the GHG tables before fieldwork removes most of these flags.

**Data is derived from FY2025 sustainability reports of LQ45 issuers; reconciliation results shown as aggregates only*

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The next engagement is the lever for every reader

***41 of 45 issuers** would need a new or changed engagement for an ISSA 5000-form statement: 18 have none and 23 statements miss at least one core criterion.*

Reader	What to do now	Why it pays
Big 4 and other audit firms	Map current LQ45 clients to ISSA 5000 limited assurance; build listed-figure scope and narrative testing into the methodology	Group 1 issuers choose providers for FY2027 to FY2029, and 18 have no provider yet
Certification bodies and consultancies	Build an ISQM 1-equivalent quality system and offer ISSA 5000 limited engagements, with AA1000 as an add-on	ISSA 5000 is profession-agnostic, so the market stays open to firms that meet its quality requirements
Reporting teams at Tbk issuers	Fix the lens flags first; then set standard, level and listed figures in the next engagement letter	Sustainable bonds already need an annual external review (POJK 18/2023); lenders score verified emissions higher (PCAF score 1 against 2); EU exporters avoid CBAM default values (+10% in 2026, +30% from 2028)
BEI, OJK and IAPI	Define "assured"; set a transition path for the 18 AA1000 moderate statements	POJK 18/2023 already sets independence, competence and ethics for reviewers; a named standard and level would complete that template

> The case is **risk and readiness rather than a return figure**. No evidence was found of a lower cost of capital or a green-bond pricing premium from assurance in Indonesia, and the CBAM and PCAF points apply only to issuers with that exposure. S&P Global's Corporate Sustainability Assessment also scores the assurance standard, independence, level and scope, with an undisclosed weight.

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**Sources: OJK; SMM; DitchCarbon; S&P Global (section 11)*

Thirteen checks close the gaps before 2029

***7 checks on the statement and 6 on the data**, each traced to a criterion in Exhibit 6 or a lens in section 07.*

7 The statement

set in the engagement letter

☐	The standard is ISSA 5000 or SAKb 5000, or ISAE 3000 or 3410 until those apply	**C4**
☐	The level is limited or reasonable, in the standard's own words, with no "moderate" or mixed wording	**C3**
☐	The provider names its quality management system: ISQM 1 or an equivalent at least as demanding	**C2**
☐	Independence and the ethical code applied are stated	**C1**
☐	A clear limited or reasonable conclusion is expressed	**C5**
☐	Scope 1 and Scope 2 sit inside the subject matter	**P1**
☐	The assured figures are listed with units and boundary	**P2**

6 The data

fixed before fieldwork

☐	Each scope total equals the sum of its parts, and every breakdown adds up	**Accuracy**
☐	Every narrative claim, such as "emissions fell 12%", matches the tables	**Consistency**
☐	Every intensity states its basis and recalculates from the reported figures	**Consistency**
☐	Figures are plausible for the business, and the boundary and method are stated	**Completeness**
☐	Material sources are visible: coal mine methane for coal miners, enteric fermentation for livestock	**Completeness**
☐	Units, prior-year figures and restatements agree across the report	**Hygiene**

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**Checks derived from Exhibit 6 criteria and section 07 lenses*

The 27 statements, issuer by issuer

*In the order of Exhibit 6: core score first, then PSPK score; **ISSA-ready statements** in navy.*

Ticker	Provider	Type	Standard	Level	Subject matter	GHG scopes assured	Core (of 5)	All (of 7)
GOTO	EY	Big 4	ISAE 3000 + ISAE 3410	Limited	Selected indicators	Scope 1, 2, 3	**5**	**7**
MEDC	EY	Big 4	ISAE 3000 + ISAE 3410	Limited	Selected indicators	Scope 1, 2, 3	**5**	**7**
NCKL	EY	Big 4	ISAE 3000	Limited	Selected indicators	Scope 1, 2, 3	**5**	**7**
ASII	PwC	Big 4	ISAE 3000 + ISAE 3410	Limited	Selected indicators	Scope 1, 2	**5**	**6**
ICBP	Moores Rowland	KAP network	ISAE 3000	Limited	Selected indicators	Scope 1, 2	**4**	**5**
INDF	Moores Rowland	KAP network	ISAE 3000	Limited	Selected indicators	Scope 1, 2	**4**	**5**
BUMI	Moores Rowland	KAP network	ISAE 3000	Limited	Selected indicators	None	**4**	**4**
DEWA	Moores Rowland	KAP network	ISAE 3000	Limited	Selected indicators	None	**4**	**4**
BMRI	Sucofindo	Certification body	ISAE 3000 + AA1000AS	Moderate	Selected indicators	Scope 1, 2	**3**	**5**
BBTN	CBC Global	Consultancy	AA1000AS v3	Moderate	Selected indicators	Scope 1, 2, 3	**3**	**4**
ITMG	Bureau Veritas	Certification body	AA1000AS v3	Moderate	Selected indicators	Scope 1, 2, 3	**3**	**4**
PTBA	Moores Rowland	KAP network	ISAE 3000 + AA1000AS	Moderate	Selected indicators	Scope 1, 2, 3	**3**	**4**
BBRI	Decar Verite Asia	Consultancy	AA1000AS v3	Moderate	Selected indicators	Scope 1, 2, 3	**2**	**4**
TLKM	TÜV Rheinland	Certification body	AA1000AS v3	Moderate	Whole report	Scope 1, 2, 3	**2**	**4**
ANTM	TÜV Rheinland	Certification body	AA1000AS v3	Moderate	Whole report	Scope 1, 2, 3	**2**	**3**
EMTK	TÜV Rheinland	Certification body	AA1000AS v3	Moderate	Whole report	Scope 1, 2, 3	**2**	**3**
INDY	SGS	Certification body	AA1000AS v3	Moderate	Selected indicators	Scope 1, 2	**2**	**3**
ISAT	BATS	Consultancy	AA1000AS v3	Moderate	Whole report	Scope 1, 2, 3	**2**	**3**
MBMA	TÜV Rheinland	Certification body	AA1000AS v3	Moderate	Whole report	Scope 1, 2	**2**	**3**
MDKA	TÜV Rheinland	Certification body	AA1000AS v3	Moderate	Whole report	Scope 1, 2	**2**	**3**
PGEO	SRAI	Consultancy	AA1000AS v3	Moderate	Selected indicators	Scope 1, 2, 3	**2**	**3**
UNVR	TÜV Rheinland	Certification body	AA1000AS v3	Moderate	Whole report	Scope 1, 2	**2**	**3**
BBCA	SRAI	Consultancy	AA1000AS v3	Moderate	Selected indicators	None	**2**	**2**
BBNI	SRAI	Consultancy	AA1000AS v3	Moderate	Selected indicators	None	**2**	**2**
PGAS	SRAI	Consultancy	AA1000AS v3	Moderate	Selected indicators	None	**2**	**2**
INCO	SRAI	Consultancy	AA1000AS v3	Moderate	Selected indicators	None	**1**	**1**
AMMN	Not stated	Not stated	Not stated	Not stated	GHG only	None	**0**	**0**

No statement was found for 18 issuers: AADI, ADMR, ADRO, AKRA, AMRT, BRPT, CPIN, CUAN, ESSA, EXCL, HRTA, INKP, JPFA, KLBF, MAPI, SCMA, UNTR and WIFI. AMMN's statement is a verification only and names no provider or standard. PGEO's statement describes its GHG verification as internal; it is counted as assured under coding rule 15.

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Method and limitations

*Public documents only: the FY2025 sustainability or integrated annual reports of 45 LQ45 constituents, coded against **29 written rules**.*

Method

The sample is the LQ45 index for 3 August to 30 October 2026. For each constituent, the FY2025 sustainability or integrated annual report published in 2026 was read, plus any full assurance report the issuer published on its website and referenced from the report (one case, MEDC).

Each report was coded for assurance category, provider and provider type, standard, level, subject matter, GHG scopes disclosed and assured, other metrics assured, independence, competence and quality management statements, conclusion, and whether figures are listed. Where an issuer has more than one statement, the broadest sets the category, and a metric counts as assured if any statement covers it. The 29 rules are published with the coding workbook.

The readiness score uses five ISSA 5000 core criteria (C1 to C5) and two PSPK criteria (P1, P2), each met or not met; "not clear" counts as not met. It measures the published statement, not the engagement behind it. The GHG reconciliation checked every report with GHG data against itself through three lenses, allowing for rounding; one report could not be reconciled.

Limitations

1. Reconciliation tests internal consistency, not the truth of the underlying data; the counts are a lower bound.
2. Coal mine methane and enteric fermentation are inferred omissions, reported apart from the flags.
3. One year and 45 large companies: the results do not describe the wider market.
4. One coder with a light second check; the independence criterion is lenient, since generic wording counts.
5. The assured against non-assured comparison is descriptive and rests on small groups.
6. Extraction and initial coding were AI-assisted; claims naming issuers or providers and all headline figures were verified manually.

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Sources

*Issuer reports plus **16 public sources**: regulators, standard setters, advisers, researchers and the press.*

1	Issuer FY2025 sustainability and annual reports (page references in the coding workbook); MEDC limited assurance report by EY
2	IDX Channel: BEI, 13% of 2025 sustainability reports verified
3	RSM: IAASB and IESBA issue sustainability assurance standards
4	MIA: ISSA 5000 General Requirements for Sustainability Assurance Engagements
5	IAI: PSPK 1 and 2
6	KPMG Indonesia: PSPK 1 and 2 at a glance
7	OJK: draft POJK on sustainable finance
8	OJK: POJK 18/2023
9	IAPI: single sustainability assurance standard proposal
10	Permen BUMN PER-1/MBU/03/2023
11	Maroun et al.: the state of global sustainability assurance (IAASB)
12	AccountAbility: as the ISSA 5000 comes into effect, do we need the AA1000AS?
13	SC Malaysia: mandatory sustainability assurance from 2028
14	Allen & Gledhill: Singapore climate reporting timelines
15	SMM: CBAM costs and verification capacity
16	DitchCarbon: PCAF data quality scores
17	S&P Global: building trust through defined scope and external assurance

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